Costco Wholesale Corporation

NASDAQ: COST | Consumer Staples — Warehouse Clubs | Valuation date 16 October 2026 (refreshed from 1 October) | Debjit Mukherjee, IB Independent

HOLD **Fair value: $977 | CMP: $989.11 (close, 16-Oct-2026) | Downside: −1.2% (total return −0.7%)**

Rated on total return against the US 10-year Treasury at 5.09%: BUY above the 9.01% cost of equity, ACCUMULATE above 7.09%, HOLD between zero and that, REDUCE below zero. Fair value is stated in today's money. On these bands the total return is a REDUCE by 0.7 points (band rating REDUCE); we rate HOLD on one stated reason, explained under Valuation.

Refreshed 16 October 2026. Since the 1 October valuation the shares rose 8.1% to $989.11, about a third of it on 14 October, in a rotation into consumer staples; Walmart rose 14.0%, so Costco's premium to it narrowed. September comparable sales were +7.6% excluding gas and FX (+11.4% reported). Fair value moves from $903.51 to $976.78, mostly because the price moved: with today's premium kept in full, the peer methods track the price. A review on 21 October also put Costco's EV/EBITDA on the same EBITDA basis as the model, which took $4.22 off fair value. The rating is unchanged at HOLD.

Investment Summary

Costco is not a retailer that happens to sell memberships. It is a membership club that runs a retailer at close to cost. In FY2026 membership fees were $5,907 million — about half of operating income (50.6%) — while the merchandise operation, on $297.2 billion of sales, earned an operating margin of 1.91% excluding the tariff refund. The business is outstanding: renewal of 92.3% in the US and Canada, a return on invested capital of 42.6%, net cash of $15,139 million, and suppliers who fund the working capital. None of that is in dispute.

The question is price. At $989.11 Costco trades on 48.0x FY2026 earnings excluding the tariff refund, an earnings yield of 2.08%. On 16 October the 10-year Treasury paid 5.09%. The bond out-yields the stock's earnings by 3.01 percentage points.

We value Costco against Walmart, the one US retailer of comparable scale and defensiveness. On trailing earnings Costco's premium to Walmart has narrowed from 86% in August 2022 to 13.5% today, the lowest point in the series, and we keep all of it: 43.35x forward earnings gives $971 and 29.73x EBITDA gives $989. Weighted two-thirds and one-third, fair value is $977, −1.2% below the price, for a total return of −0.7% after the 0.59% dividend. A cash-flow DCF gives $501; following the desk's method for consumer staples we show it as a floor and give it no weight.

HOLD. On our bands −0.7% is a REDUCE, by 0.7 points, and we override it for one reason: the shortfall is smaller than our own forecast error. Keeping today's premium in full, the peer methods restate the price on our earnings, so this is an earnings call. HOLD needs FY2027 EPS of $22.61, 1.0% above our $22.39; consensus sits 1.9% above ours and gives +0.6%, a HOLD. We will not call REDUCE on a gap of $0.22 a share. Rolled forward twelve months at the cost of equity, fair value becomes a price target of $1,059, 7.1% above the price; we show it for reference, not as a reason, because any stock at fair value earns the cost of equity on that basis.

We tested the bearish case hard before landing here. Costco's own multiple the last time the 10-year approached 5%, in October 2023, averaged 39.3x and would put the stock at $811. But that window coincided with a market-wide drawdown, and the 10-year has closed above 5% through late September 2026 (5.29% on 30 September) while Costco averaged 44.1x FY2026 earnings. Against the S&P 500's forward multiple, Costco traded at 2.22 times the market in October 2023, 2.35 times in the late-September sessions at 5% and 2.53 times at the 16 October close. Most of the 2023 discount was the market's, not Costco's, so we show it as a cross-check with no weight.

Results Review — FY2026 (52 weeks to 30 August 2026)

	FY2026	FY2025	Change
Net sales ($m)	297,247	269,912	+10.1%

Membership fees ($m)	5,907	5,323	+11.0%
Operating income ($m)	11,685	10,383	+12.5%
Diluted EPS, reported	$20.76	$18.21	+14.0%
Diluted EPS, ex tariff refund	$20.61	$18.21	+13.2%
Comparable sales, headline / ex gas and FX	8.4% / 6.6%		

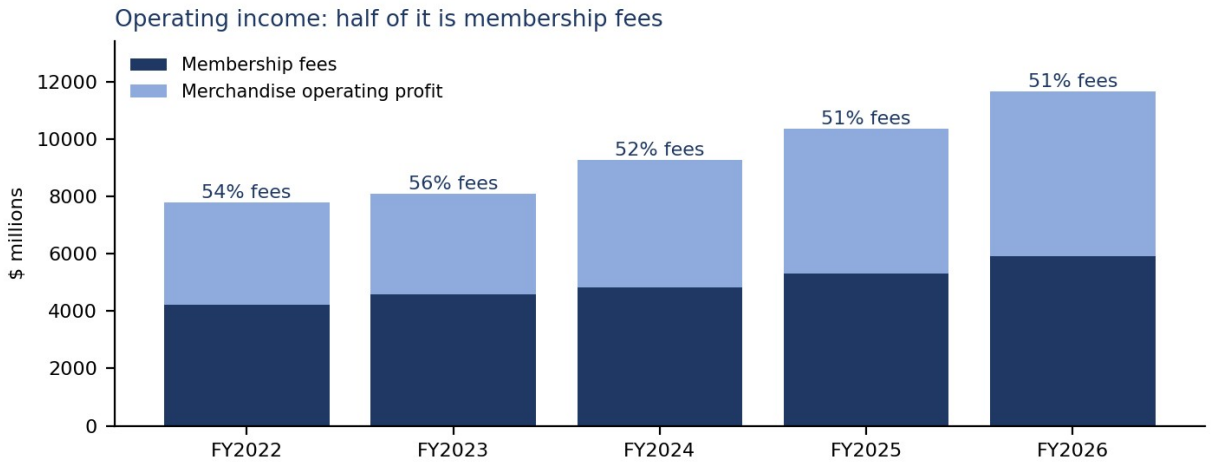
Q4 EPS of $6.75 beat the $6.52 consensus (Benzinga; other polls had $6.54 and $6.55) by $0.23, but $0.15 of it was a non-recurring IEEPA tariff refund; without it Q4 EPS was $6.60, up 12.4% and $0.05–$0.08 ahead of consensus. Full-year EPS without the refund was $20.61, up 13.2%. That is the only item we strip out: the stock-compensation tax benefits Costco books every first quarter recur, so they stay in both years.

Gas flatters the sales line, not the earnings. Gas price inflation added roughly 3 percentage points to Q4 comps of 9.4%; ex gas and FX, comps ran at 6.7% in Q4 and 6.6% for the year. Gas earns almost nothing, so it barely touches profit. The tailwind that does fade is the fee increase: Q4 FY2026 was the last quarter to benefit from the September 2024 US/Canada increase, with reported fee growth of 7.3% and 6.8% without the increase and FX. Capex also steps up, from $6.4 billion to a guided $7,500 million for FY2027. Paid members reached 84.1 million (+3.8%), executive members 42.3 million, warehouses 939.

Snapshot

Metric	Value	Note
Price (16-Oct-2026)	$989.11	9.8% below the $1,096.50 52-week high
Trailing P/E, ex tariff refund	48.0x	five-year range at year-ends 38.4x–53.9x
Forward P/E	43.35x	Walmart 39.54x; premium 9.6%
Earnings yield vs 10-yr Treasury	2.08% vs 5.09%	−3.01pp
Membership fees / operating income	50.6%	FY2026 reported
Return on invested capital	42.6%	after-tax operating income ÷ invested capital
Net cash	$15,139m	cash + investments − debt, excl. leases
Premium to Walmart, trailing P/E	13.5%	lowest since 2022; median 59%, high 86%
Fair value / rating	$977 / HOLD	total return −0.7%; 12-month basis +7.6%

The Business: a Membership Club Wrapped Round a Near-Cost Retailer



Every year from FY2022 to FY2026 membership fees supplied between half and 56% of operating income. The merchandise side is run to earn its keep and little more: its operating margin was 1.60% in FY2022 and 1.94% reported in FY2026. That structure is why the premium multiple exists — the fee stream renews at over 90% and

grows with the member base — and also why the growth rate is bounded. Fees grow with members, executive upgrades and a price increase every five to seven years; the last one has now fully annualised.

We model both pieces forward. Net sales grow 8.0% in FY2027, fading to 4.5% by FY2036; fees grow 6.5% a year to FY2030, take a further increase in FY2031 and fade to 5.0% by FY2036; the merchandise margin rises 6bp a year to FY2031 and 3bp after. FY2027E EPS is $22.39 (+8.6%) against consensus of $22.82; FY2028E is $24.28 against $25.02. Our FY2027 revenue is within 0.6% of consensus, so the 1.9% EPS gap sits in fee growth and merchandise margin, where our drivers are below the Street's implied path.

Valuation

Method	Value/share	vs price	Weight
Forward P/E at 43.35x (Walmart + today's premium)	$970.62	−1.9%	66.7%
EV/EBITDA at 29.73x (Walmart + today's premium)	$989.11	0.0%	33.3%
Costco's own P/E, Oct-2023 window (39.3x) — cross-check	$810.82	−18.0%	0%
FCFF DCF at WACC — floor	$501.25	−49.3%	0%
Blended fair value	$976.78	−1.2%	
Total expected return (incl. dividend)	−0.7%		HOLD

Why relative-led. The desk values consumer staples on dividends and multiples, with a DCF as a floor. A dividend model does not fit Costco: the regular yield is 0.59%, and most cash returned comes as irregular special dividends. So the multiples lead, against the nearest peer, and Costco's own history at high rates is the cross-check.

Anchor one: Walmart. On S&P Global data for the same day (Costco's EV/EBITDA on the model's own EBITDA and net cash), Costco trades at a 9.6% premium on forward P/E (43.35x against 39.54x) and 30.2% on EV/EBITDA (29.73x against 22.83x). Costco earns roughly three times Walmart's return on capital and renews over 90% of its members, so the right premium is not zero. BJ's, the only other US warehouse club, trades at 19.43x forward and 12.64x EV/EBITDA; it is a cross-check rather than an anchor, being a twentieth of Costco's size with a regional, lower-income member base. Whether it should be cut is a question history can answer. On trailing P/E, using Walmart's adjusted EPS from its own earnings releases, the premium has fallen at every fiscal year-end since FY2024:

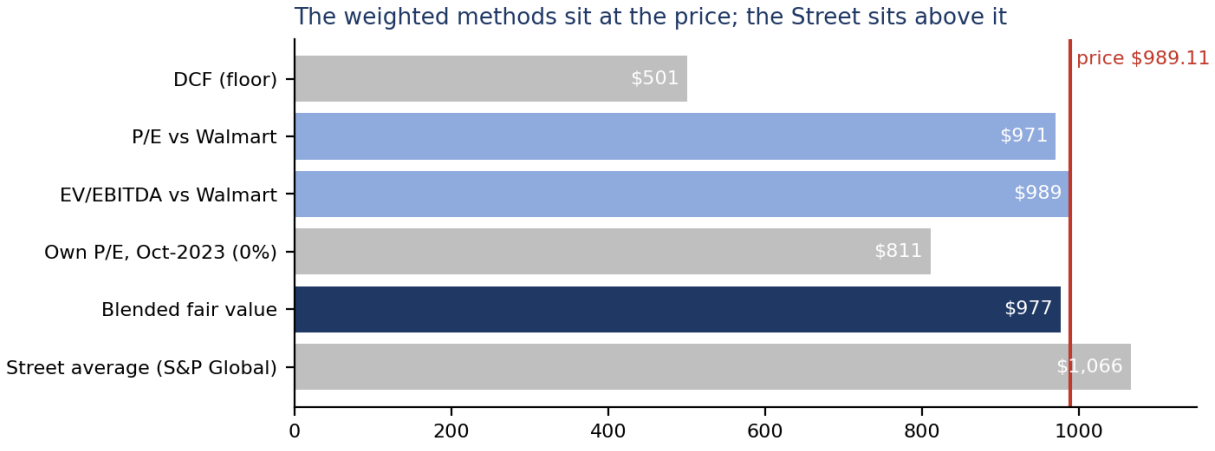
Date	US 10-yr	COST P/E	WMT P/E	Premium
26-Aug-2022 (FY2022 end)	3.04%	40.5x	21.8x	86.1%
1-Sep-2023 (FY2023 end)	4.18%	38.4x	24.7x	55.3%
19-Oct-2023 (2023 yield peak, 4.98%)	4.98%	39.9x	24.6x	62.2%
30-Aug-2024 (FY2024 end)	3.91%	53.9x	32.4x	66.5%
29-Aug-2025 (FY2025 end)	4.23%	51.8x	38.3x	35.1%
28-Aug-2026 (FY2026 end)	4.73%	45.5x	36.7x	24.1%
16-Oct-2026 (today; EPS ex tariff refund)	5.09%	48.0x	42.3x	13.5%

Today's 13.5% is the lowest point in the series, against a median of 58.8% and a high of 86.1%. The de-rating a haircut would anticipate has largely happened, and mostly through Walmart re-rating upward rather than Costco falling. So Methods 2 and 3 keep today's premium in full and put Costco at $971 and $989. Kept in full, both methods apply Costco's own multiples, so they restate the price rather than test it, and Walmart drops out of the

arithmetic: Method 3 returns the price exactly, and Method 2 differs from it only by our EPS against consensus. The premium series has fallen every year, so a new low is a trend as much as a floor; keep three-quarters of today's premium instead and fair value is $944, a −4.0% total return. One basis note: Walmart's 39.54x implies about $3.00 of EPS, roughly the next twelve months; on its fiscal year to January 2027 it is 41.11x, a choice that drops out with the premium kept in full. Method 3 uses reported EBITDA, with Costco's multiple computed on that same EBITDA and net cash; on EBITDA without the tariff refund it would be $983.

Cross-check: Costco's own history at high rates. Walmart does not tell us whether the peer itself is cheap at a 5.09% Treasury, so we asked what the market paid for Costco when rates were last this high. In 2023 the 10-year closed at or above 4.75% in 14 sessions between 3 October and 1 November, peaking at 4.98% on 19 October; it never closed at 5%. Over those sessions Costco traded between 38.3x and 40.6x trailing FY2023 EPS of $14.16, an average of 39.3x. On FY2026 EPS of $20.61 that gives $811, −18.0% below the price. We give it no weight, for two reasons. The window sat inside a market drawdown, with the S&P 500 as much as 10% off its July 2023 high, so it measures the market's mood as much as the rate. And the rate is not historical: in the ten sessions since 15 September with the 10-year at or above 5%, Costco traded between 43.4x and 44.9x FY2026 earnings. Relative to the S&P 500's forward P/E (FactSet: 17.7x in October 2023, 19.0x now) Costco sat at 2.22 times the market then, 2.35 times in late September and 2.53 times at the 16 October close, and at 2.51 times in the three January 2025 sessions that also cleared 4.75%. At 5% the market is paying more for Costco, relative to everything else, than it did in 2023; after the October rally it is paying about what it paid in January 2025. FY2023 was also a 53-week year, which flatters that year's EPS and understates the 2023 multiple. Had we weighted this cross-check at half, fair value would be $894 and the call a REDUCE.

The DCF floor. Unlevered free cash flow at a WACC of 8.94% (9.01% cost of equity from a 5.09% risk-free rate, beta 0.87 and a 4.5% equity risk premium), 4.0% terminal growth and a 30% return on new capital gives $501.25, 49% below the price. The DCF equals the price only at a 6.49% WACC, 1.40 points over a risk-free Treasury, or at 7.15% growth a year in perpetuity, above the risk-free rate itself. A DCF at these rates is partly a view on equities in general, which is why it is a floor and not a weight. With the DCF at 40%, the two Walmart methods at 40% and 20% and no own-history anchor, fair value would be $787 and the total return −19.9%.



What has to be true. The model flexes the share of today's premium the Walmart methods keep (none, half, three-quarters, all) against a weight of 0%, 25% and 50% on the 2023 cross-check, and once more with consensus EPS. Only 1 of the sixteen cells shows a positive total return, +0.6%: today's premium, no weight on 2023, consensus EPS. The cells well below the price all need the premium to narrow further or weight on the 2023 window. The scenarios say the same. Bear (sales growth 1.5 points lower, fee growth 1 point lower, margin gains halved, WACC 0.5 points higher, 3.5% terminal growth and Walmart's multiples) gives $835 (−15.0%). Bull (the reverse, with today's

multiples) gives $989 (+0.6%), a HOLD. The bull case is capped by design: it keeps today's multiples, so its upside is earnings alone.

Conservatism check. Reversing our prudent inputs — Damodaran's 4.23% equity risk premium for our 4.5%, today's 42.6% return on capital for our 30%, and consensus EPS for ours — lifts the DCF floor to $526 and $516 and Method 2 to $989. Fair value becomes $989, a +0.6% total return, a HOLD. The two DCF reversals move only the floor; only the EPS swap moves fair value, and it is the swap that turns the band rating from REDUCE to HOLD. One assumption leans the other way: our terminal cash conversion rises above the FY2036 level; holding it flat cuts the DCF floor to $465.

Why HOLD, and the Case Either Way

The band rating is mechanical, and here it rests on a difference smaller than our own error. On our EPS the total return is −0.7%; on consensus it is +0.6%; on a twelve-month view it is +7.6%. One basis says REDUCE, one HOLD, one ACCUMULATE, and HOLD is the middle of the three. The twelve-month basis cannot separate HOLD from REDUCE, so it is not our reason. Our reason is the size of the gap: HOLD on our own EPS needs $22.61, $0.22 more than we forecast, or the Walmart methods keeping about 105% of today's premium, which means the premium has to widen slightly.

The bull case. If the market keeps paying 44 times forward earnings, the price compounds with earnings: on our FY2028 growth of 8.4% plus the dividend that is 9.0% a year, a BUY; on consensus growth of 9.6% it is 10.2%, a BUY. That is the strongest case for owning it. Our answer is the bear case below: the twelve-month return falls to zero on a de-rating of 8.3%. It also needs the multiple to hold at a 5.09% Treasury with the fee increase fully annualised, and leaves no room for a de-rating.

The bear case. Price Costco at its October 2023 multiple and it is worth $811. For the twelve-month return to be zero in the market, the forward multiple would have to fall from 44.18x on our FY2027E EPS today to 40.5x on FY2028E a year from now, an 8.3% de-rating. That is a market call, not a Costco call, and it is not one we can date.

Cross-Check Against Third-Party Views

The Street is mostly positive; it cut after the print and has since held. Two polls disagree, so we show both: 40 analysts on S&P Global data (stockanalysis.com, 15-Oct-2026) average $1,066 (+7.8%), median $1,072, range $770–$1,315, with 25 Buy or Strong Buy, 13 Hold and 2 Sell; Benzinga's 25 average $1,084 (+9.6%, 2-Oct-2026). Between 25 and 30 September, eight brokers made real cuts and Bernstein trimmed $1; DA Davidson raised to $1,040 (Neutral), and four held, including Roth's Sell at $781. None changed its rating. The largest was JPMorgan's $85 cut, to $1,015, still Overweight. Before the print, on 16 September, BofA had cut to $1,095. Since our first valuation date the only target change we found is Tigress Financial, $1,065 to $1,250 on 15 October.

Like for like, our twelve-month price target of $1,059 sits 0.7% below the S&P Global average of $1,066. We differ from the Street on the rating basis, not on the price: measured on total return in today's money, as we rate, the stock is fairly priced.

Key Risks to Our HOLD

- Downside: the market de-rates. At Costco's October 2023 multiple of 39.3x the stock is worth $811, −18.0% from here. Rates staying above 5% raise the odds.
- Downside: our earnings are right and the premium keeps narrowing. If the Walmart methods keep less than 47% of today's premium, even the twelve-month return turns negative.
- Upside: our EPS is too low. We sit 1.9% below consensus for FY2027; on consensus the total return is +0.6% and the twelve-month view higher still.

- Upside: rates fall back. A lower Treasury yield supports long-duration multiples generally; it would also lift the DCF floor.
- Upside: another fee increase arrives early. We model one in FY2031; the gap between the last two was seven years, and the one before that six.
- Special dividends. Costco holds net cash of $15.1 billion and has paid specials before ($15.00 in January 2024). A special returns cash we already count, so it does not change fair value, but it supports sentiment.

Company Overview

Costco operates 939 membership warehouses — 647 in the United States and Puerto Rico, 115 in Canada and the rest across Mexico, Japan, the UK, Korea, Australia, Taiwan, China and Europe — selling a deliberately limited range at low margins to 84.1 million paid members. Kirkland Signature, gas, pharmacy, travel and e-commerce sit around the core warehouse. FY2026 net sales were $297.2 billion. Management plans 33 openings in FY2027, five of them relocations.

Disclaimer

This note is personal and educational analysis by Debjit Mukherjee. It is not investment advice, not a solicitation, and the author is not a SEBI-registered investment adviser or research analyst, nor registered with any US regulator. Figures are from Costco's FY2023, FY2024 and FY2026 results releases and the Q4 FY2026 earnings call, Walmart's earnings releases (8-K, SEC EDGAR), US Treasury yields, Damodaran, FactSet Earnings Insight, Yahoo Finance, StatMuse and stockanalysis.com price history, S&P Global data via stockanalysis.com and Benzinga, as of 1–18 October 2026 (market data at the 16 October close). The model accompanying this note carries every figure, its source and date.

Costco Wholesale Corporation (NASDAQ: COST) — Financial Model

Debjit Mukherjee · IB Independent · valuation date 16 October 2026 (refresh of the 1-Oct note) (NASDAQ close). Blue = hard-coded input · black = same-sheet formula · green = cross-sheet link.

MARKET DATA		
Valuation date	16-Oct-2026	*NASDAQ close; refreshed from the 1-Oct-2026 valuation (FY2026 results 24-Sep; September sales 7-Oct)*
Live price ($)	**$989.11**	*Close 16-Oct-2026: stockanalysis.com history and digrin agree ($989.11); 1-Oct close was $914.94*
Shares outstanding (m)	443.266	*Balance sheet 30-Aug-2026: 443,266,000 issued and outstanding — NOT derived from market cap ÷ price*
Market capitalisation ($m)	438,439	
Market cap per S&P Global (stockanalysis), $m	438,300	*cross-check only; stockanalysis 16-Oct-2026 (443.13m shares on the vendor basis)*
Check: share count implied by vendor market cap ÷ price, less balance-sheet count (m)	-0.1	*within ±0.1m = the two sources agree*
Quarterly dividend ($)	$1.47	*8-K 14-Oct-2026: $1.47 declared, record 30-Oct, payable 13-Nov-2026*
Annual regular dividend ($)	$5.88	
Dividend yield (regular only)	0.59%	*specials excluded — irregular, last $15.00 in January 2024*
52-week high ($)	$1,096.50	*May 2026 (stockanalysis / Google Finance)*
52-week low ($)	$844.06	
Beta (5-year monthly)	0.87	*stockanalysis 16-Oct-2026 displays 0.87; unchanged from 1-Oct*
Risk-free — US 10-yr Treasury, 16-Oct-2026	**5.09%**	*US Treasury daily par yield curve: 5.09% on 16-Oct-2026 (FRED DGS10 5.10% on 15-Oct); 5.24% on 1-Oct-2026*
Equity risk premium	4.50%	*Damodaran implied ERP 1-Jan-2026: 4.23%; set at 4.5% (prudent; desk standard for US names)*
Trailing P/E on recurring FY2026 EPS (x)	48.0x	
Earnings yield on recurring FY2026 EPS	**2.08%**	
Earnings yield less 10-yr Treasury (pp)	**-3.01%**	*negative: the bond out-yields the stock's earnings by this much*
Price change from 52-week high	-9.8%	
FY2027 capex guidance ($m)	7,500	*CFO Gary Millerchip, Q4 FY2026 call, 24-Sep-2026*

MEMBERSHIP — fiscal year end, Q4 FY2026 call (24-Sep-2026)		
Paid members (m)	84.1	*+3.8% year on year*
Paid member growth	3.8%	
Executive members (m)	42.3	*+9.4%; record penetration*
Executive share of paid members	50.3%	
Renewal rate — US & Canada	92.3%	*+10bp on the quarter*
Renewal rate — worldwide	89.8%	
Q4 membership fee growth, reported	7.3%	
Q4 membership fee growth ex fee increase and FX	**6.8%**	*Q4 was the LAST quarter with a benefit from the Sep-2024 US/Canada fee increase*
Warehouses at year end	939	*28 opened in FY2026 incl. 3 relocations; 33 planned for FY2027 incl. 5 relocations*
FY2026 comparable sales — headline	8.4%	
FY2026 comparable sales — ex gasoline and FX	**6.6%**	*Q4: 9.4% headline, 6.7% adjusted; gas price inflation added ~3pp to Q4*

OUTPUT — linked from the Valuation sheet		
RATING	**HOLD**	
Blended fair value ($)	**$976.78**	
Upside / (downside)	-1.2%	
Total expected return	-0.7%	
Cost of equity (BUY hurdle)	9.01%	
ACCUMULATE hurdle	7.09%	
Method 1 — DCF floor, 0% weight ($)	$501.25	
Method 2 — forward P/E vs Walmart, today's premium kept ($)	$970.62	
Method 3 — EV/EBITDA vs Walmart, today's premium kept ($)	$989.11	
Method 4 — Costco's own P/E, Oct-2023 window, 0% weight ($)	$810.82	

Costco Wholesale (COST) — Income Statement, FY2022–FY2026

Source: Costco Q4/FY results releases, investor.costco.com (FY2023 incl. FY2022 comparatives; FY2024; FY2026 incl. FY2025). $m except per share.

$ millions	FY2022	FY2023	FY2024	FY2025	FY2026
Net sales	222,730	237,710	249,625	269,912	297,247
Membership fees	4,224	4,580	4,828	5,323	5,907
Total revenue	**226,954**	**242,290**	**254,453**	**275,235**	**303,154**
Merchandise costs	199,382	212,586	222,358	239,886	264,279
Selling, general and administrative	19,779	21,590	22,810	24,966	27,190
Operating income	**7,793**	**8,114**	**9,285**	**10,383**	**11,685**
Interest expense	(158)	(160)	(169)	(154)	(145)
Interest income and other, net	205	533	624	589	711
Income before income taxes	7,840	8,487	9,740	10,818	12,251
Provision for income taxes	1,925	2,195	2,373	2,719	3,025
Net income attributable to noncontrolling interests	(71)	0	0	0	0
NET INCOME ATTRIBUTABLE TO COSTCO	**5,844**	**6,292**	**7,367**	**8,099**	**9,226**
Diluted shares (000s)	444,757	444,452	444,759	444,803	444,427
Diluted EPS, computed ($)	$13.14	$14.16	$16.56	$18.21	$20.76
Reported diluted EPS ($)	$13.14	$14.16	$16.56	$18.21	$20.76
Check: computed less reported EPS (must be within ±$0.01)	$0.00	$0.00	$0.00	$0.00	$0.00
Weeks in fiscal year	52	53	52	52	52

FY2026 EPS EX TARIFF REFUND — the only item removed (see note below)

Non-recurring IEEPA tariff refund benefit, $ per diluted share (company-disclosed, Q4 FY2026)	$0.15
Q4 FY2026 effective tax rate (CFO, Q4 call)	25.2%
Implied pre-tax benefit ($m) = EPS × diluted shares ÷ (1 − tax)	89.1
Recurring operating income ($m)	**11,596**
Recurring diluted EPS ($)	**$20.61**
Recurring EPS growth vs FY2025	13.2%

FY2023 had 53 weeks, so growth into and out of FY2023 is distorted by roughly 2%. Every Q4 is 16 weeks.

Only the tariff refund ($0.15) is removed; stock-comp tax benefits ($0.16 Q1 FY26, $0.22 Q1 FY25) recur each Q1 and stay in both years.

Q4 FY2026 (16 weeks to 30-Aug-2026) vs Q4 FY2025

	Q4 FY2026	Q4 FY2025	Change
Net sales	93,873	84,432	11.2%
Membership fees	1,850	1,724	7.3%
Operating income	3,801	3,341	13.8%
Net income	2,998	2,610	14.9%
Diluted EPS ($)	$6.75	$5.87	15.0%
Q4 diluted EPS ex tariff benefit ($)	$6.60	$5.87	12.4%

Costco — Balance Sheet, fiscal year ends FY2022–FY2026

Source: Costco Q4/FY results releases, investor.costco.com (FY2023 incl. FY2022 comparatives; FY2024; FY2026 incl. FY2025). $m except per share.

$ millions	FY2022	FY2023	FY2024	FY2025	FY2026
Cash and cash equivalents	10,203	13,700	9,906	14,161	20,207
Short-term investments	846	1,534	1,238	1,123	1,094
Receivables, net	2,241	2,285	2,721	3,203	3,959
Merchandise inventories	17,907	16,651	18,647	18,116	19,324
Other current assets	1,499	1,709	1,734	1,777	1,998
Total current assets	**32,696**	**35,879**	**34,246**	**38,380**	**46,582**
Property and equipment, net	24,646	26,684	29,032	31,909	35,633
Operating lease right-of-use assets	2,774	2,713	2,617	2,725	2,697
Other long-term assets	4,050	3,718	3,936	4,085	4,133
TOTAL ASSETS	**64,166**	**68,994**	**69,831**	**77,099**	**89,045**
Total assets as reported	64,166	68,994	69,831	77,099	89,045
Check: computed less reported total assets (must be 0)	0	0	0	0	0
Accounts payable	17,848	17,483	19,421	19,783	22,591
Accrued salaries and benefits	4,381	4,278	4,794	5,205	5,641
Accrued member rewards	1,911	2,150	2,435	2,677	3,037
Deferred membership fees	2,174	2,337	2,501	2,854	3,006
Current portion of long-term debt	73	1,081	103	75	2,248
Other current liabilities	5,611	6,254	6,210	6,514	7,429
Total current liabilities	**31,998**	**33,583**	**35,464**	**37,108**	**43,952**
Long-term debt, excluding current portion	6,484	5,377	5,794	5,713	3,914
Long-term operating lease liabilities	2,482	2,426	2,375	2,460	2,414
Other long-term liabilities	2,555	2,550	2,576	2,654	2,962
TOTAL LIABILITIES	**43,519**	**43,936**	**46,209**	**47,935**	**53,242**
Total equity (incl. noncontrolling interests)	20,647	25,058	23,622	29,164	35,803
of which noncontrolling interests	5	0	0	0	0
Check: assets less liabilities less equity (must be 0)	0	0	0	0	0
Shares issued and outstanding at year end (000s)	442,664	442,793	443,126	443,237	443,266

DERIVED					
Total debt (current + long-term)	6,557	6,458	5,897	5,788	6,162
Cash + short-term investments	11,049	15,234	11,144	15,284	21,301
Net cash (excl. leases)	**4,492**	**8,776**	**5,247**	**9,496**	**15,139**
Operating net working capital (excl. cash, investments, debt)	(10,278)	(11,857)	(12,259)	(13,937)	(16,423)
Costco stockholders' equity	20,642	25,058	23,622	29,164	35,803
Invested capital = equity + debt − cash − investments	16,150	16,282	18,375	19,668	20,664

Costco — Cash Flow, FY2022–FY2026

Source: Costco Q4/FY results releases, investor.costco.com (FY2023 incl. FY2022 comparatives; FY2024; FY2026 incl. FY2025). $m except per share.

$ millions	**FY2022**	**FY2023**	**FY2024**	**FY2025**	**FY2026**
Net income including noncontrolling interests	5,915	6,292	7,367	8,099	9,226
Depreciation and amortization	1,900	2,077	2,237	2,426	2,674
Stock-based compensation	724	774	818	860	924
Changes in working capital	(1,563)	1,018	611	1,764	2,328
Net cash provided by operating activities	7,392	11,068	11,339	13,335	15,825
Additions to property and equipment	(3,891)	(4,323)	(4,710)	(5,498)	(6,435)
Cash dividend payments (incl. special)	(1,498)	(1,251)	(9,041)	(2,183)	(2,458)
Repurchases of common stock	(439)	(676)	(700)	(903)	(848)
Other operating items (residual)	416	907	306	186	673
FREE CASH FLOW = operating cash flow + capex	**3,501**	**6,745**	**6,629**	**7,837**	**9,390**
Cash returned to shareholders	1,937	1,927	9,741	3,086	3,306

FY2024 dividends include the $15.00 special paid January 2024 (~$6.7bn). FY2022 net income includes $71m of noncontrolling interest.

Change in cash and equivalents, balance sheet ($m)	(1,055)	3,497	(3,794)	4,255	6,046
Cash and equivalents at the start of FY2022 ($m)	11,258				
Other investing, financing and FX flows = change in cash − FCF + cash returned ($m)	(2,619)	(1,321)	(682)	(496)	(38)
Net cash used in investing activities, reported ($m)	(3,915)	(4,972)	(4,409)	(5,311)	(6,386)
Net cash used in financing activities, reported ($m)	(4,283)	(2,614)	(10,764)	(3,775)	(3,355)
Effect of exchange rates on cash, reported ($m)	(249)	15	40	6	(38)
Check: operating + investing + financing + FX less change in cash (must be 0)	0	0	0	0	0

Costco — Key Ratios, FY2022–FY2026

Every ratio is a formula on the statement sheets.

	FY2022	FY2023	FY2024	FY2025	FY2026
GROWTH					
Net sales growth		6.7%	5.0%	8.1%	10.1%
Membership fee growth		8.4%	5.4%	10.3%	11.0%
Diluted EPS growth (reported)		7.8%	16.9%	10.0%	14.0%
THE TWO BUSINESSES — a membership club wrapped round a near-cost retailer					
Gross margin on net sales	10.48%	10.57%	10.92%	11.12%	11.09%
SG&A as % of net sales	8.88%	9.08%	9.14%	9.25%	9.15%
Operating margin on total revenue	3.43%	3.35%	3.65%	3.77%	3.85%
Membership fees as % of operating income	**54.2%**	**56.4%**	**52.0%**	**51.3%**	**50.6%**
Merchandise operating profit = operating income − fees ($m)	3,569	3,534	4,457	5,060	5,778
Merchandise operating margin on net sales	**1.60%**	**1.49%**	**1.79%**	**1.87%**	**1.94%**
Net margin on total revenue	2.57%	2.60%	2.90%	2.94%	3.04%
Effective tax rate	24.6%	25.9%	24.4%	25.1%	24.7%
RETURNS AND CASH					
Return on average Costco equity		27.5%	30.3%	30.7%	28.4%
Return on invested capital (after-tax op. income ÷ year-end invested capital)	36.4%	36.9%	38.2%	39.5%	42.6%
Free cash flow ($m)	3,501	6,745	6,629	7,837	9,390
Free cash flow ÷ net income	59.9%	107.2%	90.0%	96.8%	101.8%
Capex as % of net sales	1.75%	1.82%	1.89%	2.04%	2.16%
D&A as % of net sales	0.85%	0.87%	0.90%	0.90%	0.90%
Operating net working capital as % of net sales (negative = suppliers fund it)	-4.61%	-4.99%	-4.91%	-5.16%	-5.53%
Dividend payout incl. specials (÷ net income)	25.6%	19.9%	122.7%	27.0%	26.6%
Net cash ($m)	4,492	8,776	5,247	9,496	15,139
Diluted share count drift vs FY2022	0.00%	-0.07%	0.00%	0.01%	-0.07%
Operating income growth		4.1%	14.4%	11.8%	12.5%

Forecast FY2027E–FY2036E — Costco modelled as two businesses: membership fees + a near-cost merchandise operation

Blue = driver. FY2026A column is RECURRING (tariff-refund benefit removed). Every FY2027E+ line is a formula on its drivers.

	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E	FY2035E	FY2036E
Net sales growth	10.1%	8.0%	7.5%	7.0%	6.5%	6.0%	5.5%	5.3%	5.0%	4.8%	4.5%
Net sales ($m)	297,247	321,027	345,104	369,261	393,263	416,859	439,786	462,875	486,019	509,104	532,014
Membership fee growth	11.0%	6.5%	6.5%	6.5%	6.5%	9.0%	6.0%	6.0%	5.5%	5.5%	5.0%
Membership fees ($m)	5,907	6,291	6,700	7,135	7,599	8,283	8,780	9,307	9,819	10,359	10,877
Total revenue ($m)	**303,154**	**327,318**	**351,804**	**376,396**	**400,862**	**425,142**	**448,566**	**472,182**	**495,837**	**519,463**	**542,891**
Merchandise margin step (pp per year)		0.06%	0.06%	0.06%	0.06%	0.06%	0.03%	0.03%	0.03%	0.03%	0.03%
Merchandise operating margin on net sales	1.914%	1.974%	2.034%	2.094%	2.154%	2.214%	2.244%	2.274%	2.304%	2.334%	2.364%
Merchandise operating profit ($m)	5,689	6,337	7,019	7,732	8,470	9,229	9,868	10,525	11,197	11,882	12,576
Operating income ($m)	**11,596**	**12,628**	**13,719**	**14,867**	**16,069**	**17,512**	**18,648**	**19,832**	**21,016**	**22,241**	**23,453**
Operating margin on total revenue	3.83%	3.86%	3.90%	3.95%	4.01%	4.12%	4.16%	4.20%	4.24%	4.28%	4.32%
Membership fees as % of operating income	50.9%	49.8%	48.8%	48.0%	47.3%	47.3%	47.1%	46.9%	46.7%	46.6%	46.4%
Interest income and other growth		3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
Interest income and other, net ($m)	711	732	754	777	800	824	849	874	901	928	956
Interest expense ($m)	(145)	(145)	(145)	(145)	(145)	(145)	(145)	(145)	(145)	(145)	(145)
Income before taxes ($m)	12,162	13,215	14,328	15,499	16,725	18,191	19,352	20,561	21,772	23,023	24,263
Tax rate	24.7%	24.7%	24.7%	24.7%	24.7%	24.7%	24.7%	24.7%	24.7%	24.7%	24.7%
Net income ($m)	**9,159**	**9,951**	**10,789**	**11,671**	**12,594**	**13,698**	**14,572**	**15,483**	**16,394**	**17,336**	**18,270**
Diluted shares (m)	444.4	444.4	444.4	444.4	444.4	444.4	444.4	444.4	444.4	444.4	444.4
Diluted EPS ($)	**$20.61**	**$22.39**	**$24.28**	**$26.26**	**$28.34**	**$30.82**	**$32.79**	**$34.84**	**$36.89**	**$39.01**	**$41.11**
EPS growth (FY2027E vs recurring FY2026)		8.6%	8.4%	8.2%	7.9%	8.8%	6.4%	6.2%	5.9%	5.7%	5.4%
D&A as % of net sales	0.90%	0.90%	0.90%	0.90%	0.90%	0.90%	0.90%	0.90%	0.90%	0.90%	0.90%
D&A ($m)	2,674	2,889	3,106	3,323	3,539	3,752	3,958	4,166	4,374	4,582	4,788
EBITDA ($m)	14,270	15,517	16,825	18,190	19,609	21,263	22,606	23,998	25,390	26,822	28,241
Capex as % of net sales	2.16%	2.34%	2.25%	2.20%	2.15%	2.10%	2.05%	2.00%	1.95%	1.90%	1.90%
Capex ($m)	6,435	7,500	7,765	8,124	8,455	8,754	9,016	9,257	9,477	9,673	10,108
Operating NWC as % of net sales (held at FY2026)	-5.53%	-5.53%	-5.53%	-5.53%	-5.53%	-5.53%	-5.53%	-5.53%	-5.53%	-5.53%	-5.53%
Operating NWC ($m)	(16,423)	(17,737)	(19,067)	(20,402)	(21,728)	(23,032)	(24,298)	(25,574)	(26,853)	(28,128)	(29,394)
Cash released by working capital ($m)		1,314	1,330	1,335	1,326	1,304	1,267	1,276	1,279	1,276	1,266
NOPAT = operating income × (1 − tax) ($m)	8,733	9,509	10,330	11,195	12,100	13,186	14,042	14,933	15,825	16,747	17,660
FREE CASH FLOW TO FIRM ($m)		**6,212**	**7,002**	**7,729**	**8,511**	**9,488**	**10,251**	**11,118**	**12,000**	**12,932**	**13,606**
FCFF ÷ NOPAT		65.3%	67.8%	69.0%	70.3%	72.0%	73.0%	74.4%	75.8%	77.2%	77.0%

HOW THE DRIVERS WERE SET

Net sales +8.0% in FY2027: FY2026 comps ex gas and FX were 6.6%, and 28 net new warehouses in FY2027 (3.0% of the base, less productive at first) add ~1.5pp; we do NOT extrapolate the ~3pp gas-price lift to Q4. Fades 0.5pp a year to 5.5% in FY2032, then 0.25pp a year to 4.5% by FY2036.

Membership fees +6.5%: Q4 fee growth ex the fee increase and FX was 6.8%, and Q4 FY2026 was the last quarter carrying the Sep-2024 increase. FY2031 carries +9.0% for the next fee increase — the last five came every 5–7 years (2000, 2006, 2011, 2017, 2024). Best estimate, not a haircut.

Merchandise margin +6bp a year to FY2031 (it rose from 1.49% in FY2023 to 1.91% recurring in FY2026), then +3bp. Operating margin on revenue reaches the level in row 13 — above anything Costco has reported.

Share count held flat: diluted shares were 444.8m in FY2022 and 444.4m in FY2026 — buybacks offset dilution and do not shrink the count.

Capex: $7.5bn guided for FY2027 (2.3% of sales); management expects capex growth to slow after FY2027, so the ratio eases to 1.9%. Working capital stays at FY2026's negative level, so growth RELEASES cash.

Our FY2027E EPS sits below consensus ($22.82, S&P Global, 15-Oct-2026) while revenue is within 0.6%: the gap is fee growth and margin, not gas — see Peers & Street.

Method 1 — FCFF DCF at WACC (unlevered cash flow ↔ WACC)

Valuation date 16-Oct-2026. Mid-year convention: FY2027 cash flow centred on 1-Mar-2027, 0.373 years out.

DISCOUNT RATE		
Risk-free — US 10-yr Treasury, 16-Oct-2026	5.09%	
Beta	0.87	
Equity risk premium	4.50%	
COST OF EQUITY	**9.01%**	
Credit spread over Treasuries	0.50%	*Costco is rated Aa3/A+; ~50bp is a long-dated single-A/AA spread*
Pre-tax cost of debt	5.59%	
Tax rate	24.7%	
Market capitalisation ($m)	438,439	
Debt ($m)	6,162	
Equity weight	98.6%	
WACC	**8.94%**	

CASH FLOWS ($m)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E	FY2035E	FY2036E
Free cash flow to firm	6,212	7,002	7,729	8,511	9,488	10,251	11,118	12,000	12,932	13,606
Years from valuation date (mid-year)	0.373	1.373	2.373	3.373	4.373	5.373	6.373	7.373	8.373	9.373
Discount factor	0.9686	0.8891	0.8161	0.7492	0.6877	0.6313	0.5795	0.5319	0.4883	0.4482
Present value	6,016	6,225	6,308	6,376	6,525	6,471	6,442	6,384	6,314	6,098

TERMINAL VALUE — growth and reinvestment tied (g = RONIC × reinvestment rate)		
Sum of PV, FY2027E–FY2036E	63,161	
Terminal growth	4.00%	*below the 5.09% risk-free; ~US long-run nominal growth*
Return on new invested capital in perpetuity	30.0%	*ROIC was ~43% in FY2026 (Key Ratios); faded, as new-market warehouses mature slowly*
Reinvestment rate = g ÷ RONIC	13.3%	
FY2037 NOPAT ($m)	18,366	
Terminal FCFF ($m)	15,917	*FCFF/NOPAT steps from FY2036's level (Forecast row 34) to 1 − g/RONIC here; row 49 holds it flat*
Terminal value at mid-FY2036 ($m)	322,312	
Discount period for terminal value (mid-year)	9.373	
PV of terminal value ($m)	144,469	
ENTERPRISE VALUE ($m)	**207,629**	
Terminal share of enterprise value	69.6%	
Implied terminal value ÷ FY2036E NOPAT (x)	18.3x	
Plus cash and short-term investments ($m)	21,301	*Interest income ran ~3.3% on this cash, below the 10-yr — worth about carrying value, no premium*
Less debt ($m)	(6,162)	*Finance-lease liabilities sit inside other liabilities and are not split out in the release; not deducted*
Equity value ($m)	222,768	
Diluted shares (m), FY2026 weighted average	444.427	
METHOD 1 — DCF VALUE PER SHARE ($)	**$501.25**	
vs price	-49.3%	

WHAT THE PRICE IMPLIES	
WACC at which the DCF equals the price (solved numerically; memo)	6.49%
DCF at that WACC — must land within $2 of the price	$989.10 PASS
Spread of that WACC over the 10-yr Treasury	**1.40%**
Perpetual growth the price implies at our WACC (solved numerically; memo)	7.15%
DCF at that growth — must land within $2 of the price	$989.04 PASS
DCF if terminal FCFF conversion is held at FY2036's level ($)	$465.15

SENSITIVITY — DCF $/share: WACC (rows) × terminal growth (columns); each cell a full re-computation

WACC ↓ / terminal growth →	3.0%	3.5%	4.0%	4.5%
7.00%	$678	$740	$823	$938
8.00%	$540	$575	$618	$673
8.94%	$454	$476	$501	$533
10.00%	$385	$398	$414	$432

Check: base cell (our WACC, 4.0%) less Method 1 — must be 0: 0.000000

Valuation — Walmart-relative methods lead; Costco's own history and the DCF are zero-weight cross-checks

COST OF EQUITY AND HURDLES		
Risk-free — US 10-yr Treasury, 16-Oct-2026	5.09%	
Beta	0.87	
Equity risk premium	4.50%	
COST OF EQUITY (BUY hurdle)	**9.01%**	
ACCUMULATE hurdle (10-yr + 2pp)	7.09%	
ACCUMULATE spread over the 10-yr (house rule)	2.00%	
KEY INPUTS		
Live price ($)	$989.11	
Diluted shares (m)	444.427	
FY2027E EPS ($)	$22.39	
FY2026 EBITDA, reported ($m) — Costco's multiple is computed on this same basis (row 32); Walmart's is the vendo	14,359	
Net cash less lease liabilities ($m) — matches the peer EV definition	12,725	
Dividend yield	0.59%	
Share of Costco's current premium to Walmart retained	100%	*Peers & Street rows 81–91: today's premium is the series low (62% at the Oct-2023 yield peak) — no ba*
METHOD 1 — FCFF DCF (shown as a FLOOR, 0% weight — house method for staples)		
METHOD 1 — VALUE PER SHARE ($)	**$501.25**	

METHOD 2 — FORWARD P/E vs WALMART, TODAY'S PREMIUM KEPT (two-thirds weight)		
Walmart forward P/E (x)	39.5x	*same vendor, same day as Costco's own (next row)*
Costco forward P/E on consensus FY2027 EPS (x)	43.4x	
Forward P/E applied = Walmart + retained share × (Costco − Walmart) (x)	43.4x	
METHOD 2 — VALUE PER SHARE ($)	**$970.62**	
Forward P/E at which Method 2 equals the price (x)	44.2x	

METHOD 3 — EV/EBITDA vs WALMART, TODAY'S PREMIUM KEPT (one-third weight)		
Walmart EV/EBITDA, trailing (x)	22.8x	
EV/EBITDA applied = Walmart + retained share × (Costco − Walmart) (x)	29.7x	
METHOD 3 — VALUE PER SHARE ($)	**$989.11**	
EV/EBITDA at which Method 3 equals the price (x)	29.7x	

BLENDED VALUATION AND RATING

Method	Value/share ($)	vs price	Weight	
FCFF DCF at WACC	$501.25	-49.3%	0.0%	
Forward P/E vs Walmart, premium kept	$970.62	-1.9%	66.7%	
EV/EBITDA vs Walmart, premium kept	$989.11	0.0%	33.3%	
Costco's own P/E, Oct-2023 yield-peak window (cross-check)	$810.82	-18.0%	0.0%	
BLENDED FAIR VALUE ($)	$976.78			
Upside / (downside)	-1.2%			
Add: dividend yield	0.59%			
TOTAL EXPECTED RETURN	**-0.7%**			
RATING	**HOLD**	**REDUCE**	**HOLD**	*C44 = band rating (REDUCE); D44 = analyst override. One reason: HOLD needs FY2027 EPS o*
Distance from the HOLD boundary (total return must rise by this much)	0.7%			
Total return on a 12-month basis = fair value × (1 + cost of equity) ÷ price − 1	7.6%			

THE DCF FLOOR, AND WHAT A 40% DCF WEIGHT WOULD DO	
Blend if the DCF carried 40% (40/40/20 weights) ($)	$786.57
DCF floor vs price	-49.3%
Total return with the DCF at 40%	-19.9%
Rating with the DCF at 40%	REDUCE

RECONCILIATION — each check must read 0	
Check: blended value less Scenarios Base column (must be 0)	0.000000
Check: blended value less 'what has to be true' base cell (must be 0)	0.000000
Check: Method 1 less DCF sensitivity base cell (must be 0)	0.000000

WHAT HAS TO BE TRUE — blended fair value ($)

Share of premium retained ↓ / weight on own-history anchor (Method 4) →	0%	25%	50%	Base weights, consensus EPS	**P/E applied**	**EV/EBITDA applied**
Rows flex both Walmart-based methods together; columns flex the weight on Costco's own Oct-2023 window P/E (DCF at 0%)						
0.0%	$846	$837	$828	$857	39.5x	22.8x
50%	$911	$886	$861	$923	41.4x	26.3x
75.0%	$944	$911	$877	$956	42.4x	28.0x
100%	$977	$935	$894	$989	43.4x	29.7x

The 100% row keeps today's premium (the base); the 0% row prices Costco at Walmart's own multiples. Column B is the base weighting.

SAME GRID AS TOTAL EXPECTED RETURN

	0.00%	25.00%	50.00%	Base weights, consensus EPS
0.0%	-13.9%	-14.8%	-15.7%	-12.8%
50.0%	-7.3%	-9.8%	-12.4%	-6.1%
75.0%	-4.0%	-7.3%	-10.7%	-2.7%
100.0%	-0.7%	-4.8%	-9.0%	0.6%

SCENARIOS — full re-computation on the Scenarios sheet

Scenario	Fair value ($)	Total return	Rating
Bear case	$834.81	-15.0%	REDUCE
Base case	$976.78	-0.7%	HOLD
Bull case	$988.76	0.6%	HOLD

Stress tests — the best argument against the call, 12-month view, conservatism check and break-evens

THE BEST ARGUMENT AGAINST THIS CALL — if the multiple simply holds			
Our FY2028E EPS growth		8.4%	
One-year return if today's forward multiple holds (our EPS) = growth + dividend yield		**9.0%**	
Rating that return would earn	BUY		
Consensus FY2028 EPS growth (S&P Global)		9.6%	
One-year return if the multiple holds (consensus EPS)		**10.2%**	
Rating that return would earn	BUY		
Best total return anywhere in the 16-cell grid		0.6%	
Grid cells with a positive total return		1	
12-month price target = fair value × (1 + cost of equity) − regular dividend ($)		**$1,059**	
12-month price target vs price (price return; the rating test uses row 46)		7.1%	
Damodaran implied US ERP, 1-Jan-2026		4.23%	
CONSERVATISM CHECK — the prudent inputs, reversed one at a time and then together			
WACC with ERP at Damodaran's 4.23% (1-Jan-2026)		8.71%	
DCF at that WACC ($)		$525.61	*DCF has 0% weight: moves the floor, not fair value*
DCF with RONIC at FY2026's actual ROIC ($)		$516.03	*DCF has 0% weight: moves the floor, not fair value*
Method 2 on consensus FY2027 EPS ($)		$989.25	
All prudent inputs reversed — blended fair value ($)		$989.20	
All prudent inputs reversed — total return		**0.6%**	
All prudent inputs reversed — rating	**HOLD**		
Blended fair value ÷ FY2027E EPS (x) — the multiple our fair value implies		**43.6x**	
Our fair value's premium (+) or discount (−) to Walmart's forward multiple		10.3%	
Premium share at which the 12-month total return reaches zero		47.1%	PASS
Premium share at which the total return on the RATING basis (row 43) reaches zero — HOLD needs more than this		104.9%	PASS
12-month total return on consensus FY2027 EPS (base weights)		9.0%	
Share of the gap to price supplied by Method 2 (forward P/E)		100%	
Share of the gap to price supplied by Method 3 (EV/EBITDA)		0%	
Share of the gap to price supplied by Method 4 (own P/E, Oct-2023 window; 0% weight)		0%	
Fair value vs the base grid cell (must be 0 at base weights)		0.0%	
Forward P/E on FY2028E EPS at which the 12-month total return is zero (x)		40.5x	
vs Costco's forward P/E today on our FY2027E EPS (same basis)		-8.3%	
Walmart P/E on its fiscal year to Jan-2027 (consensus EPS $2.89, stockanalysis; price 16-Oct-2026) (x)		41.11x	
Method 2 with Walmart on that basis ($) — no effect while 100% of the premium is kept		$970.62	
Blended fair value with Walmart on that basis ($) — unchanged by construction at 100% kept		$976.78	
total return		-0.7%	
Method 3 on recurring (ex tariff refund) EBITDA ($)		$983.15	
Today's multiples alone (100% premium kept, our EPS, 0% DCF): total return		-0.7%	

WHY HOLD — the analyst override in Valuation!D44 (band rating REDUCE). One reason: the shortfall is			
Total return, spot basis, on consensus FY2027 EPS (base weights)		0.6%	
Total return, 12-month basis (Valuation row 46) — reference only, not a reason: a stock at fair value retu		7.6%	
Rating the 12-month basis would earn — reference only	ACCUMULATE		
FY2027 EPS at which the RATING-basis total return reaches zero ($) — HOLD needs more than this		22.61	PASS
EPS break-even vs our FY2027E EPS (consensus sits above both)		+1.00%	

Scenarios — Bear / Base / Bull, each a full re-computation of all three methods

Base = every driver with zero deltas; must equal the blended fair value (checked on Valuation).

	Bear	Base	Bull
Net sales growth delta, every year (pp)	-1.50%	0.00%	1.50%
Membership fee growth delta, every year (pp)	-1.00%	0.00%	1.00%
Merchandise margin step multiplier (× the base step, every year)	0.50x	1.00x	1.50x
WACC delta (pp)	0.50%	0.00%	-0.50%
Terminal growth	3.50%	4.00%	4.50%
Forward P/E applied (x)	39.5x	43.4x	43.4x
EV/EBITDA applied (x)	22.8x	29.7x	29.7x
Bear: sales −1.5pp, fees −1pp, margin steps halved, WACC +0.5pp, g 3.5%, Walmart multiples, own P/E at its 5-yr low. Bull: the reverse, with today's multiples.			
Costco's own trailing P/E applied (x) — bear: 5-yr year-end low; base: Oct-2023	38.4x	39.3x	48.0x
WACC	9.44%	8.94%	8.44%
Sum of PV, FY2027E–FY2036E ($m)	53,680	63,161	74,218
Terminal value ($m)	229,105	322,312	472,034
PV of terminal value ($m)	98,377	144,469	220,901
Equity value ($m)	167,196	222,768	310,258
Method 1 — DCF per share ($)	$376.21	$501.25	$698.11
FY2027E EPS ($)	$21.98	$22.39	$22.80
Method 2 — P/E per share ($)	$869.09	$970.62	$988.59
FY2026 EBITDA, reported ($m) — Costco multiple on this same basis	14,359	14,359	14,359
Method 3 — EV/EBITDA per share ($)	$766.25	$989.11	$989.11
Blended fair value ($)	$834.81	$976.78	$988.76
Upside / (downside)	-15.6%	-1.2%	0.0%
Total expected return	**-15.0%**	**-0.7%**	**0.6%**
Rating (Base carries the published rating, Valuation!B44, incl. analyst override; REDUCE		**HOLD**	**HOLD**
Method 4 — own trailing P/E per share ($)	$792.16	$810.82	$989.11

BEAR — yearly re-computation ($m)

	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E	FY2035E	FY2036E
Net sales growth		6.50%	6.00%	5.50%	5.00%	4.50%	4.00%	3.75%	3.50%	3.25%	3.00%
Net sales	297,247	316,568	335,562	354,018	371,719	388,446	403,984	419,134	433,803	447,902	461,339
Membership fee growth		5.50%	5.50%	5.50%	5.50%	8.00%	5.00%	5.00%	4.50%	4.50%	4.00%
Membership fees	5,907	6,232	6,575	6,936	7,318	7,903	8,298	8,713	9,105	9,515	9,896
Merchandise margin	1.914%	1.944%	1.974%	2.004%	2.034%	2.064%	2.079%	2.094%	2.109%	2.124%	2.139%
Operating income		12,386	13,198	14,030	14,878	15,920	16,697	17,489	18,254	19,028	19,763
NOPAT		9,326	9,938	10,565	11,203	11,988	12,573	13,169	13,745	14,328	14,882
D&A		2,849	3,020	3,186	3,345	3,496	3,636	3,772	3,904	4,031	4,152
Capex		7,396	7,550	7,788	7,992	8,157	8,282	8,383	8,459	8,510	8,765
Operating NWC	(16,423)	(17,490)	(18,540)	(19,560)	(20,538)	(21,462)	(22,320)	(23,157)	(23,968)	(24,747)	(25,489)
Cash released by NWC		1,067	1,049	1,020	978	924	858	837	811	779	742
FCFF		5,847	6,458	6,982	7,535	8,251	8,785	9,396	10,001	10,628	11,011
PV of FCFF		5,654	5,705	5,637	5,558	5,562	5,411	5,288	5,143	4,994	4,728

BASE — yearly re-computation ($m)

	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E	FY2035E	FY2036E
Net sales growth		8.00%	7.50%	7.00%	6.50%	6.00%	5.50%	5.25%	5.00%	4.75%	4.50%
Net sales	297,247	321,027	345,104	369,261	393,263	416,859	439,786	462,875	486,019	509,104	532,014
Membership fee growth		6.50%	6.50%	6.50%	6.50%	9.00%	6.00%	6.00%	5.50%	5.50%	5.00%
Membership fees	5,907	6,291	6,700	7,135	7,599	8,283	8,780	9,307	9,819	10,359	10,877
Merchandise margin	1.914%	1.974%	2.034%	2.094%	2.154%	2.214%	2.244%	2.274%	2.304%	2.334%	2.364%
Operating income		12,628	13,719	14,867	16,069	17,512	18,648	19,832	21,016	22,241	23,453
NOPAT		9,509	10,330	11,195	12,100	13,186	14,042	14,933	15,825	16,747	17,660
D&A		2,889	3,106	3,323	3,539	3,752	3,958	4,166	4,374	4,582	4,788
Capex		7,500	7,765	8,124	8,455	8,754	9,016	9,257	9,477	9,673	10,108
Operating NWC	(16,423)	(17,737)	(19,067)	(20,402)	(21,728)	(23,032)	(24,298)	(25,574)	(26,853)	(28,128)	(29,394)
Cash released by NWC		1,314	1,330	1,335	1,326	1,304	1,267	1,276	1,279	1,276	1,266
FCFF		6,212	7,002	7,729	8,511	9,488	10,251	11,118	12,000	12,932	13,606
PV of FCFF		6,016	6,225	6,308	6,376	6,525	6,471	6,442	6,384	6,314	6,098

BULL — yearly re-computation ($m)

	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E	FY2035E	FY2036E
Net sales growth		9.50%	9.00%	8.50%	8.00%	7.50%	7.00%	6.75%	6.50%	6.25%	6.00%
Net sales	297,247	325,485	354,779	384,935	415,730	446,910	478,194	510,472	543,652	577,631	612,289
Membership fee growth		7.50%	7.50%	7.50%	7.50%	10.00%	7.00%	7.00%	6.50%	6.50%	6.00%
Membership fees	5,907	6,350	6,826	7,338	7,889	8,677	9,285	9,935	10,581	11,268	11,944
Merchandise margin	1.914%	2.004%	2.094%	2.184%	2.274%	2.364%	2.409%	2.454%	2.499%	2.544%	2.589%
Operating income		12,872	14,255	15,745	17,342	19,242	20,804	22,461	24,166	25,962	27,796
NOPAT		9,693	10,734	11,856	13,058	14,489	15,665	16,913	18,197	19,550	20,930
D&A		2,929	3,193	3,464	3,742	4,022	4,304	4,594	4,893	5,199	5,511
Capex		7,604	7,983	8,469	8,938	9,385	9,803	10,209	10,601	10,975	11,633
Operating NWC	(16,423)	(17,983)	(19,602)	(21,268)	(22,969)	(24,692)	(26,420)	(28,204)	(30,037)	(31,914)	(33,829)
Cash released by NWC		1,560	1,618	1,666	1,701	1,723	1,728	1,783	1,833	1,877	1,915
FCFF		6,578	7,563	8,518	9,563	10,849	11,895	13,081	14,322	15,651	16,722
PV of FCFF		6,382	6,767	7,028	7,277	7,612	7,697	7,806	7,881	7,942	7,826

Peers and the Street

Peer multiples: stockanalysis.com statistics pages (S&P Global Market Intelligence data). COST and WMT re-pulled at the 16-Oct-2026 close (read 18-Oct); BJ, PSMT, TGT and KR as at 1-Oct-2026 (cross-check band only). Consensus: S&P Global via stockanalysis.com, updated 15-Oct-2026.

Company	Ticker	Market cap ($bn)	EV ($bn)	Trailing P/E (x)	Forward P/E (x)	EV/EBITDA TTM (x)	ROIC	Beta 5Y	Dividend yield
Costco Wholesale	COST	438.3	427.2	47.6x	43.4x	29.7x	39.3%	0.87	0.59%
Walmart	WMT	942.6	1,006.2	43.1x	39.5x	22.8x	13.3%	0.58	0.83%
BJ's Wholesale Club	BJ	11.9	14.7	20.7x	19.4x	12.6x	12.7%	0.19	0.00%
PriceSmart	PSMT	5.2	5.2	32.9x	29.9x	14.7x	13.6%	0.78	0.84%
Target	TGT	71.2	85.0	16.3x	16.9x	9.9x	13.2%	1.00	2.96%
Kroger	KR	35.1	57.6	34.1x	11.1x	7.2x	13.9%	0.42	2.62%
Peer median (excl. Costco)				32.9x	19.4x	12.6x	13.3%	0.58	0.84%
Costco premium to Walmart, forward P/E					9.6%				
Costco premium to Walmart, EV/EBITDA						30.2%			

Walmart's 39.54x implies $3.00 EPS, about next-twelve-months; on its fiscal year to Jan-2027 ($2.89) it is 41.1x. Costco's 43.35x is on FY Aug-2027 consensus ($22.82).

Only Walmart is used in the valuation. BJ's, PriceSmart, Target and Kroger are shown because printing only one comparator hides the rest.

COST and WMT re-pulled at the 16-Oct-2026 close; BJ, TGT and KR at the 1-Oct close; PriceSmart's vendor page dated 29-Sep-2026.

THE STREET — 40 analysts, S&P Global via stockanalysis.com, updated 15-Oct-2026

Average price target ($)	$1,066
Median price target ($)	$1,072
Low ($)	$770
High ($)	$1,315
Ratings, 15-Oct-2026: Strong Buy / Buy / Hold / Sell / Strong Se	20 / 5 / 13 / 1 / 1
Consensus FY2027 EPS ($)	$22.82
Consensus FY2028 EPS ($)	$25.02
Consensus FY2027 total revenue ($bn)	329.4
Average target vs price	7.8%
Price ÷ consensus FY2027 EPS (x)	43.3x
Price ÷ consensus FY2028 EPS (x)	39.5x

TARGET CHANGES AFTER THE 24-SEP PRINT — Benzinga analyst-ratings page, read 2-Oct-2026 (Telsey: stockanalysis; Jefferies: MarketBeat, read 20-Oct-2026)

Firm	Rating	Old target ($)	New target ($)	Date	Action	Source
Bernstein (Zhihan Ma)	Outperform	$1,144	$1,143	25-Sep-2026	cut	Benzinga
Mizuho (David Belinger)	Outperform	$1,100	$1,065	25-Sep-2026	cut	Benzinga
JPMorgan (Christopher Horvers)	Overweight	$1,100	$1,015	25-Sep-2026	cut	Benzinga
Raymond James (Bobby Griffin)	Outperform	$1,100	$1,050	25-Sep-2026	cut	Benzinga
Truist (Scot Ciccarelli)	Hold	$1,011	$955	25-Sep-2026	cut	Benzinga
Wells Fargo (Edward Kelly)	Equal-Weight	$1,000	$950	25-Sep-2026	cut	Benzinga
Freedom Broker (Georgy Vashchenko)	Buy	$1,030	$1,010	25-Sep-2026	cut	Benzinga
Deutsche Bank (Krisztina Katai)	Buy	$1,091	$1,079	28-Sep-2026	cut	Benzinga
DA Davidson (Michael Baker)	Neutral	$1,000	$1,040	25-Sep-2026	raise	Benzinga
RBC Capital (Steven Shemesh)	Sector Perform	$1,000	$1,000	1-Oct-2026	unchanged	Benzinga 25-Sep; reaffirmed 1-Oct (stockanalysis)
Roth Capital (Bill Kirk)	Sell	$781	$781	25-Sep-2026	unchanged	Benzinga
Argus Research (Christopher Graja)	Buy	$1,230	$1,230	28-Sep-2026	unchanged	Benzinga
Telsey Advisory (Joe Feldman)	Buy	$1,135	$1,135	30-Sep-2026	unchanged	stockanalysis
Jefferies	not stated	1130	1100	25-Sep-2026	cut	MarketBeat forecast page, read 20-Oct-2026
Post-print target cuts	9					
Post-print target raises	1					
Post-print targets unchanged	4					
Largest post-print cut ($)	$85					

Before the print: BofA $1,200 → $1,095 and Oppenheimer $1,160 maintained (16-Sep); BTIG $1,125 maintained (23-Sep). After the print and our 1-Oct valuation: Tigress Financial $1,065 → $1,250 (15-Oct-2026).

Bernstein cut $1,194 → $1,144 on 4-Sep and $1 more after the print. S&P Global average: $1,077 on 4-Sep-2026.

A SECOND POLL — the two vendors disagree, so both are shown

Benzinga consensus: analysts	25
Benzinga consensus: average target ($)	$1,084
Benzinga consensus: Buy / Hold / Sell	20 / 4 / 1
Benzinga average vs price	9.6%

OUR FORECAST AGAINST CONSENSUS

Our FY2027E total revenue vs consensus	-0.6%
Our FY2027E EPS vs consensus	-1.9%

Revenue is within 0.6% of consensus, so the EPS gap is NOT gas (near-zero margin). It sits in fee growth and merchandise margin, where our drivers are below the Street's implied path.

Q4 FY2026 consensus EPS ($) — Benzinga, 25-Sep-2026	$6.52 *other polls: $6.54 (MarketBeat), $6.55 (Tradingpedia)*
Q4 reported EPS less consensus ($)	$0.23
Q4 EPS ex tariff refund less consensus ($)	$0.08

COSTCO'S OWN TRAILING P/E AT FISCAL YEAR-ENDS — close on the last trading day (Yahoo Finance; FY2026 matches stockanalysis)

Fiscal year	Close ($)	Reported EPS ($)	Trailing P/E (x)
FY2022 (26-Aug-2022)	$531.82	$13.14	40.5x
FY2023 (1-Sep-2023)	$544.25	$14.16	38.4x
FY2024 (30-Aug-2024)	$892.38	$16.56	53.9x
FY2025 (29-Aug-2025)	$943.32	$18.21	51.8x
FY2026 (28-Aug-2026)	$945.47	$20.76	45.5x
Five-year low / high (x)	38.4x	53.9x	
Today, on recurring FY2026 EPS (x)	48.0x		

Our fair value ÷ recurring FY2026 EPS (x)	47.4x	
Premium share at which Methods 2 and 3 equal the price (solved; memo)	109.4% PASS	
Five-year average / median (x)	46.0x	45.5x

COSTCO'S PREMIUM TO WALMART THROUGH THE CYCLE — trailing P/E; Walmart on its own adjusted EPS, split-adjusted

Date	US 10-yr	COST close ($)	COST trailing EPS ($	COST P/E (x)	WMT close ($)	WMT TTM adj. EPS (	WMT P/E (x)	COST premium
26-Aug-2022 (FY2022 end)	3.04%	$531.82	$13.14	40.5x	$43.87	$2.017	21.8x	86%
1-Sep-2023 (FY2023 end)	4.18%	$544.25	$14.16	38.4x	$53.86	$2.177	24.7x	55%
19-Oct-2023 (2023 yield peak, 4.98%)	4.98%	$565.63	$14.16	39.9x	$53.59	$2.177	24.6x	62%
30-Aug-2024 (FY2024 end)	3.91%	$892.38	$16.56	53.9x	$77.23	$2.387	32.4x	67%
29-Aug-2025 (FY2025 end)	4.23%	$943.32	$18.21	51.8x	$96.98	$2.530	38.3x	35%
28-Aug-2026 (FY2026 end)	4.73%	$945.47	$20.76	45.5x	$103.09	$2.810	36.7x	24%
16-Oct-2026 (today; EPS ex tariff refund)	5.09%	$989.11	$20.61	48.0x	$118.81	$2.810	42.3x	14%
Premium before today: lowest / median / highest	24%	59%	86%					
Costco's own trailing P/E in the Oct-2023 yield-peak window	39.3x							
WALMART ADJUSTED EPS — its 8-K earnings releases (SEC ED	**as reported**	**split-adjusted**						
FY2022 (year to Jan-2022)	$6.46	$2.153						
H1 FY2022 (six months to Jul-2021)	$3.48	$1.160						
H1 FY2023 (to Jul-2022)	$3.07	$1.023						
FY2023 (year to Jan-2023)	$6.29	$2.097						
H1 FY2024 (to Jul-2023)	$3.31	$1.103						
FY2024 (year to Jan-2024, restated post-split)	$2.22	$2.220						
H1 FY2025 (to Jul-2024)	$1.27	$1.270						
FY2025 (year to Jan-2025)	$2.51	$2.510						
H1 FY2026 (to Jul-2025)	$1.29	$1.290						
FY2026 (year to Jan-2026)	$2.64	$2.640						
H1 FY2027 (to Jul-2026)	$1.46	$1.460						

TTM at each date = last full year − its first half + the latest first half; halves are Walmart's own six-month YTD adjusted EPS (Q2 reported mid-August, before each Costco year-end). Costco's FY EPS is the year just ended, reported about four weeks after each date.

Closes: Yahoo Finance chart data (split-adjusted, not dividend-adjusted), cross-checked against StatMuse and digrin in the 3-Oct-2026 review; 10-yr: FRED DGS10 / Treasury par curve.

Reading: the premium is the lowest in the series (62% at the Oct-2023 yield peak) — no basis for cutting it. FY2023 EPS is a 53-week year and also absorbs $391m of charter-shipping charges; neither is adjusted.

THE OCT-2023 YIELD PEAK — every session in 2023 with the 10-yr at or above 4.75% (FRED DGS10; none closed at 5%); COST on FY2023 EPS, the latest reported then

Date	US 10-yr	COST close ($)	COST trailing P/E (x)
3-Oct-2023	4.81%	$565.04	39.9x
6-Oct-2023	4.78%	$557.53	39.4x
17-Oct-2023	4.83%	$574.34	40.6x
18-Oct-2023	4.91%	$574.64	40.6x
19-Oct-2023	4.98%	$565.63	39.9x
20-Oct-2023	4.93%	$552.93	39.0x
23-Oct-2023	4.86%	$552.29	39.0x
24-Oct-2023	4.83%	$551.84	39.0x
25-Oct-2023	4.95%	$549.99	38.8x
26-Oct-2023	4.86%	$547.60	38.7x
27-Oct-2023	4.84%	$543.03	38.3x
30-Oct-2023	4.88%	$554.88	39.2x
31-Oct-2023	4.88%	$552.44	39.0x
1-Nov-2023	4.77%	$556.80	39.3x
Window average / low / high (x)	39.3x	38.3x	40.6x

COSTCO AT 5%: every session from 1-Sep to 1-Oct-2026 with the 10-yr at or above 5.00% (Treasury par curve); trailing P/E on the EPS reported at each date

Date	US 10-yr	COST close ($)	Trailing EPS reporte	P/E reported (x)	P/E on recurring FY2026 EPS (x)
15-Sep-2026	5.00%	$901.35	$19.88	45.3x	43.7x
16-Sep-2026	5.01%	$893.74	$19.88	45.0x	43.4x
18-Sep-2026	5.01%	$895.31	$19.88	45.0x	43.4x
23-Sep-2026	5.11%	$904.70	$19.88	45.5x	43.9x
24-Sep-2026	5.18%	$896.48	$19.88	45.1x	43.5x
25-Sep-2026	5.17%	$922.77	$20.76	44.4x	44.8x
28-Sep-2026	5.24%	$922.92	$20.76	44.5x	44.8x
29-Sep-2026	5.26%	$924.59	$20.76	44.5x	44.9x
30-Sep-2026	5.29%	$910.34	$20.76	43.9x	44.2x
1-Oct-2026	5.24%	$914.94	$20.76	44.1x	44.4x
Window average / low / high on recurring FY2026 EPS (x)	44.1x	43.4x	44.9x		
Window average on the EPS reported at each date (x)	44.7x				

EPS before 24-Sep = Q3 FY2026 TTM: 18.21 − 12.34 + 14.01 = $19.88 (Q3 FY2026 release and 10-Q). 24-Sep uses $19.88: Costco reported FY2026 after that day's close. Closes: StatMuse, stockanalysis.com and Bullstory agree to the cent.

COSTCO VS THE MARKET IN EACH HIGH-RATE EPISODE — trailing P/E on EPS reported then ÷ S&P 500 forward 12-month P/E (FactSet Earnings Insight)

Episode (10-yr at or above 4.75%)	COST trailing P/E	S&P 500 fwd P/E (x)	COST ÷ S&P (x)
Oct-2023: 14 sessions, peak 4.98% (rows 110–123); FactS	39.3x	17.7x	2.22x
Jan-2025: 10, 13, 14 Jan, 4.77–4.79%; EPS $17.02 (Q1 FY2	53.9x	21.5x	2.51x
Sep–Oct 2026: 10 sessions at or above 5.00% (rows 130–1	44.7x	19.0x	2.35x

Reading: in the 15-Sep to 1-Oct-2026 window, with the 10-yr at or above 5%, Costco traded at about its Oct-2023 multiple of the market and below Jan-2025; after the October rally it is back at about the Jan-2025 level (report, Cross-check). The Oct-2023 39.3x was a market-wide low (FactSet 17.1x on 27-Oct-2023), not a Costco-specific rate discount

Evidence block — every third-party figure the note relies on, dated and sourced

Rows marked FEEDS feed the valuation; rows marked CONTEXT support the narrative and do NOT feed any number.

Item	Value	Role	Date	Source
US 10-yr Treasury par yield	5.09%	FEEDS	16-Oct-2026	US Treasury, Daily Treasury Par Yield Curve Rates
US 10-yr Treasury par yield, 30-Sep-2026	5.29%	CONTEXT	30-Sep-2026	US Treasury par yield table (5.26% on 29-Sep); FRED DGS10 4.79% on 1-Sep-2026
Implied US equity risk premium	4.23%	FEEDS (set at 4.5%, prudent)	1-Jan-2026	Damodaran, 'Data Update 2 for 2026'
COST close	$989.11	FEEDS	16-Oct-2026	stockanalysis.com price history; digrin
COST beta, 5-year	0.87 (0.875 unrounded)	FEEDS	16-Oct-2026	stockanalysis.com; Google Finance 0.86
Peer multiples (WMT, BJ, PSMT, TGT, KR)	see Peers & Street	FEEDS (WMT and COST's own m	16-Oct-2026	stockanalysis.com statistics pages, S&P Global data — COST and WMT at 16-Oct; others at 1-Oct
FY2027 capex guidance	$7.5bn	FEEDS	24-Sep-2026	CFO Gary Millerchip, Q4 FY2026 call
Tariff refund benefit	$0.15/share net; $184m received in Q4 ($1	FEEDS (recurring EPS)	24-Sep-2026	Q4 FY2026 release and call
Q4 membership fee growth ex fee increase and FX	6.8%	FEEDS (fee growth)	24-Sep-2026	Q4 FY2026 call
Paid members / executive / cardholders	84.1m / 42.3m / 150.4m	CONTEXT	24-Sep-2026	Q4 FY2026 call
Renewal rates US&Canada / worldwide	92.3% / 89.8%	CONTEXT	24-Sep-2026	Q4 FY2026 call
Q4 gas price inflation contribution to comps	~3pp	CONTEXT	24-Sep-2026	Q4 FY2026 call
Q4 LIFO charge	$152m vs $43m	CONTEXT	24-Sep-2026	Q4 FY2026 call
Warehouses; FY2027 openings	939; 33 incl. 5 relocations	CONTEXT	24-Sep-2026	Q4 FY2026 release and call
Warehouses: US & Puerto Rico / Canada	647 / 115	CONTEXT	24-Sep-2026	Q4 FY2026 release
Costco Next marketplace discontinued	not material	CONTEXT	24-Sep-2026	Q4 FY2026 call
Consensus target / FY2027 EPS / FY2028 EPS	$1,066 / $22.82 / $25.02	FEEDS memo rows only (Stress T	15-Oct-2026	S&P Global via stockanalysis.com (40 analysts)
Second poll: average target, 25 analysts	$1,084	CONTEXT	2-Oct-2026	Benzinga analyst-ratings page
Post-print target changes	9 cuts (8 real + Bernstein $1), 1 raise, 4 un	CONTEXT	25–30-Sep-2026	Benzinga; Telsey: stockanalysis; Jefferies: MarketBeat (read 20-Oct-2026)
Consensus target before the print	$1,077	CONTEXT	4-Sep-2026	S&P Global via stockanalysis.com
Entity check: M&A, spin-offs, splits, capital raises in last 12 months	none	CONTEXT	2-Oct-2026	news search; net acquisitions $0; no split since January 2000
Q4 FY2026 consensus EPS	$6.52 ($6.54–6.55 elsewhere)	CONTEXT	25-Sep-2026	Benzinga
COST closes at fiscal year-ends FY2022–FY2026	see Peers & Street rows 69–73	CONTEXT	2-Oct-2026	Yahoo Finance chart data; FY2026 close cross-checked to stockanalysis
Walmart consensus EPS, fiscal year to Jan-2027	$2.89 (41.11x)	FEEDS memo rows only (Stress T	16-Oct-2026	stockanalysis.com WMT forecast (S&P Global)
Walmart adjusted EPS, FY2022–H1 FY2027	see Peers & Street rows 93–103	FEEDS premium history	2-Oct-2026	Walmart 8-K earnings releases, SEC EDGAR
COST and WMT closes at history dates	see Peers & Street rows 83–89	CROSS-CHECK (Method 4, 0% we	3-Oct-2026	Yahoo Finance chart data; recent WMT closes match Nasdaq
US 10-yr at history dates	4.75%–4.98%, 14 sessions 3-Oct to 1-Nov-2	CROSS-CHECK (Method 4 windov	3-Oct-2026	FRED DGS10
US 10-yr, 1-Sep to 1-Oct-2026 (≥5.00% sessions)	5.00%–5.29%, 10 sessions	CROSS-CHECK (Peers & Street	3-Oct-2026	US Treasury par yield curve CSV, Sep/Oct 2026
COST closes, Sep–Oct 2026	see Peers & Street rows 130–139	CROSS-CHECK	3-Oct-2026	StatMuse; stockanalysis.com; Bullstory — agree
Costco 36-week EPS FY2026 / FY2025; Q1 FY2025 / FY2024	$14.01 / $12.34; $4.04 / $3.58	CROSS-CHECK (TTM EPS)	3-Oct-2026	Q3 FY2026 release and 10-Q; Q1 FY2025 10-Q (SEC EDGAR)
S&P 500 forward 12-month P/E	17.7x / 21.5x / 19.0x	CROSS-CHECK (rows 146–148	20-Oct-2023 / 1	FactSet Earnings Insight (single source)